

Amazon.com, Inc.

AMZN NASDAQ

Buy **\$233.42** ▲ **0.56%** **12M Price Target** **\$275.00** **52-Week Range** **\$196.00 – \$278.56**

Market Cap
\$2.51T

AMZN: All Eyes on July 30 Earnings, AI Bet in Focus

WHAT HAPPENED

- Stock is basically flat (\$233, +0.56%) but notice the setup — AMZN fell hard from \$247 to \$233 last Thursday on huge volume (47M shares) and hasn't bounced. That's the market de-risking ahead of the July 30 earnings print. Meanwhile Consumer Discretionary (AMZN's sector) is DOWN 3.95% over 5 days even though it popped today — Amazon is dragging the sector, not following it.
- The options tape is flashing yellow: three big unusual PUT trades at \$282.5, \$295, and \$300 strikes — someone is either hedging a long position or betting the stock stays capped well below the 52-week high (\$278) through earnings.

WHY IT MATTERS

Here's what I think is actually going on: the market is nervous about Andy Jassy's \$200B AI capex bet — that's an eye-watering number (roughly 3x what Amazon spent on capex just two years ago), and Wall Street wants to see AWS growth reaccelerate to justify it. If AWS prints north of 19% growth on Wednesday, the stock likely gaps toward \$250+ because it validates the spend. If AWS comes in at 16-17% (in-line), the reaction is muted and we grind sideways. The unusual put activity at \$282-300 strikes tells me smart money isn't expecting a moonshot — they're positioning for a "good but not great" print. The bigger point: AMZN at 45% of its 52-week range going into what should be a strong quarter is a favorable risk/reward setup — you're not buying the top.

POLICY & POLITICAL WATCH

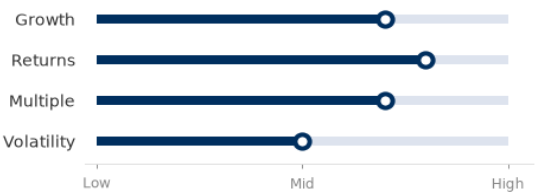
The Trump administration's AI Action Plan (released this month) is a direct tailwind — it pushes federal agencies to accelerate cloud adoption and removes some Biden-era AI safety guardrails that were slowing enterprise deployment. AWS is the largest federal cloud provider and stands to benefit. Watch two things: (1) the FTC's ongoing antitrust case against Amazon's retail business — a new Trump-appointed FTC chair could soften the stance, which would be a quiet positive; (2) tariff policy on Chinese imports — Amazon's third-party sellers get squeezed by tariffs, so any escalation hits retail margins even as AWS benefits. Net-net, the policy environment is friendlier to Amazon than it's been in years on the cloud/AI side, but tariff risk is the offset.

IS IT EXPENSIVE?

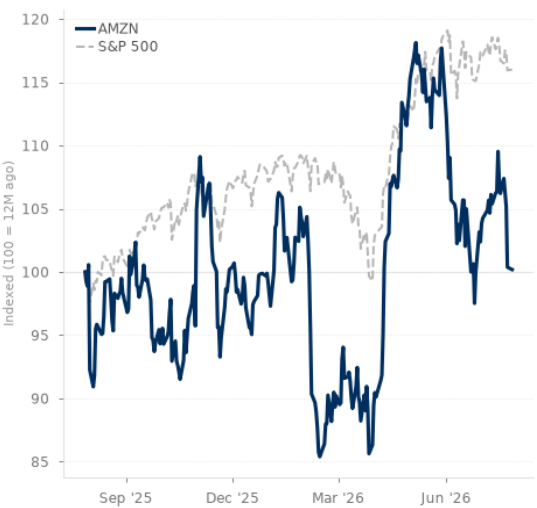
Key Data

Price (USD)	\$233.42
12M Price Target	\$275.00
Upside / (Downside)	+17.8%
Market Cap	\$2.51T
FY2026E Revenue	\$715M
FY2027E Revenue	\$790M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	34.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$260.00	\$240.00	\$215.00
6 Months	\$285.00	\$255.00	\$210.00
1 Year	\$310.00	\$275.00	\$200.00
2 Years	\$360.00	\$310.00	\$220.00
5 Years	\$500.00	\$400.00	\$250.00
10 Years	\$750.00	\$550.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.88%) and Financials (+2.01%) — banks are riding rate stability, comms benefiting from the mega-cap AI trade rotating around Alphabet/Meta earnings.

COOLING OFF: Consumer Discretionary is up today but DOWN nearly 4% on the week — that's the tell. Consumer stocks are wobbling on \$100 oil and consumer spending fears.

ROTATION WATCH: Money is rotating INTO defensive sectors (Staples, Real Estate, Utilities) ahead of Fed meeting and Big Tech earnings — classic "de-risk before catalysts" behavior. Post-earnings, if AMZN/MSFT/META deliver, expect a snap-back rotation into mega-cap tech.

RELATED PLAY: If AWS reaccelerates, the second-order winners are data center REITs (DLR, EQIX) and power infrastructure names (VST, CEG) — Amazon's \$200B capex has to physically go somewhere, and it's going into data centers and the electricity to power them.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Just beat and raised — cloud growth accelerated, which is a positive read-through for AWS since enterprise cloud demand is clearly strong.
- META (Meta): Strong ad market signals bode well for Amazon's advertising business (a \$50B+ high-margin segment nobody talks about enough).

AMZN CONTEXT: Amazon is LAGGING its mega-cap AI peers into earnings — down while GOOGL and MSFT have held up. That's either (a) the market pricing in disappointment, or (b) a coiled spring if they deliver. Given Alphabet's strong cloud print, I lean toward the coiled spring interpretation.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$225-233 pre-earnings; add on any post-print dip to \$215

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth decelerates below 15% or capex guide balloons without revenue follow-through

Hedging: Buy Aug \$220 puts as earnings insurance, or pair with short QQQ